

COMPANY PROFILE

NortonLifeLock Inc.

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COMPANY OVERVIEW

Gen Digital Inc. (Gen Digital or "the company"), formerly known as NortonLifeLock Inc, is a cybersecurity company which offers storage, security, and systems management solutions to protect against attacks across cloud, endpoints, and infrastructure. It also provides consulting services, cyber security services, encryption solutions and web and cloud security products, among others. The company's solutions find applications in a wide range of industries such as education, financial services, automotive, cyber insurance, global service providers, industrial control systems, healthcare, retail, and federal, state and local governments. It also serves cyber insurance, automotive, education, industrial control systems, financial services, healthcare, federal, local and state governments. Gen Digital operates across the Americas, the Middle East and Africa, Europe and Asia-Pacific. The company is headquartered in Tempe, Arizona, the US.

The company reported revenues of (US Dollars) US\$2,796 million for the fiscal year ended April 2022 (FY2022), an increase of 9.6% over FY2021. In FY2022, the company's operating margin was 35.8%, compared to an operating margin of 35.6% in FY2021. In FY2022, the company recorded a net margin of 29.9%, compared to a net margin of 21.7% in FY2021.

KEY FACTS

Head Office	NortonLifeLock Inc. 60 E Rio Salado Parkway, Suite 1000 Tempe Arizona Tempe Arizona USA
Phone	1 650 5272900
Fax	1 302 6365454
Web Address	www.nortonlifelock.com
Revenue / turnover (USD Mn)	2,796.0
Financial Year End	April
Employees	2,700
NASDAQ Ticker	GEN

SWOT ANALYSIS

Gen Digital Inc. (Gen Digital or "the company"), formerly known as NortonLifeLock Inc, is involved in offering security, storage and systems management solutions to protect against attacks across endpoints, cloud and infrastructure. Broad portfolio of robust software and services, revenue growth, and strong research and development capabilities are the company's major strengths, even as increase in liabilities remain causes for concern. Cloud computing market, positive outlook for global IT services, and global cybersecurity market are likely to offer growth opportunities to the company. However, increasing software piracy, complex and challenging markets, and technology changes could affect its business operations.

Strength Strong research and development capabilities strengthen competitiveness Broad portfolio of robust software and services provides growth opportunities in new as well as existing markets Revenue growth enables the company to pursue expansion plans	Weakness Increase in liabilities
Opportunity Positive outlook for global cybersecurity market Positive outlook for global IT services Positive outlook for cloud computing market	Threat Complex and challenging markets Technology changes Increase in software piracy

Strength

Strong research and development capabilities strengthen competitiveness

Gen Digital's embraces a global R&D strategy to drive organic innovation. The company has an active global R&D team which consistently focuses on development of new products to drive its leadership in cybersecurity. The company focuses on short, medium, and long-term applied research projects, with the goal of transferring completed innovations into its product groups for commercialization. The company's Security Technology and Response organization is a global team of security engineers, threat analysts, and researchers that provides the underlying functionality, content, and support for many of its consumer, small business and enterprise security products. Gen Digital has been making consistent investment in R&D over the years. In FY2022, it spent US\$276 million on R&D, The R&D expenses accounted for approximately 9% of the company's revenue in FY2021. Moreover, the company has a strong portfolio of patents. At the end of FY2021, Gen Digital had more than 2,100 patents, in addition to foreign patents and pending US and foreign patent applications. Focus on R&D enables Gen Digital to launch new and innovative products which keeps the company steadily on the growth path.

Broad portfolio of robust software and services provides growth opportunities in new as well as existing markets

The company offers a robust software and services portfolio. Gen Digital's consumer security segment offers Norton-branded services designed to provide multi-layer security on major desktop and mobile operating systems, public Wi-Fi connections, and home networks, to defend against increasingly complex online threats to individuals, families, and small businesses. It also offers LifeLock-branded identity protection services. The company's Identity and Information Protection segment offers LifeLock identity theft protection and other information protection solutions. These solutions are delivered through various methods, including software, appliance, SaaS and managed services. Robust software and services offering reduce the business risks and provide cross selling opportunities to the company. It also enables the company to tap opportunities in new as well as existing markets.

Revenue growth enables the company to pursue expansion plans

Growth in revenue improves investors' confidence in the company and enables it to pursue expansion plans. In FY2022, the company generated revenue of US\$2,796 million as compared to US\$2,551 million in FY2021, with an annual growth of 9.6%. Such growth in revenue was primarily attributed to increase in revenue of Consumer Security by 10.3% and Identity and Information Protection by 8.6%.

Weakness

Increase in liabilities

Increasing liabilities might prevent the company from meeting its short-term obligations. In FY2022, the company reported current liabilities of US\$3,065 million, compared to US\$2,136 million in FY2021, which shows an increase of 43.5%. Such significant increase in liabilities could affect the company's credibility in the market and pose operational risk when it strives to raise money for investment.

Opportunity

Positive outlook for global cybersecurity market

The growing vulnerability of IT and communication networks to hacking, increasing threats of terrorist attacks, and the need to secure maritime and offshore installations are expected to lead to increase in investment in the cybersecurity market globally. Increase in the use of cloud storage systems is also expected to increase the demand for cloud security solutions. According to in-house research, the worldwide cybersecurity market is expected to reach US\$17.8 billion by 2028 from US\$12.5 billion in 2018. North America is expected to account for 55% of the total market, followed by Asia-Pacific (22%), Europe (11%), the Middle East (8%), and Latin America and Africa (4%). The cybersecurity market comprises four segments: network security, data security, identity and access security, and cloud security. The market is expected to be dominated by the network security segment, which would account for 36% of the value, followed by data security (27%), identity and access security segment (21%), and

cloud security (16%) during the forecast period. The company offers Norton 360 security offerings, Norton Security, Norton Secure VPN, Avira Security, and other consumer security solutions and safety platform to nearly 80 million users in more than 150 countries.

Positive outlook for global IT services

The company being a provider of IT services stands to benefit from the positive long-term outlook for the global IT service market. According to in-house research, the global IT service industry is expected to reach US\$2,035.9 billion by 2025, which reflects an increase of 53.3%. Infrastructure Services category is the largest segment in the global IT service industry, accounting for 61% of the value, followed by BPO Services (21.9%), and Application Services (17.1%). Geographically, the US accounts for 33.2% of the global IT service industry value, followed by Asia-Pacific (30.7%), Europe (25.8%), the Middle East (2.5%), and Rest of the World (7.7%).

Positive outlook for cloud computing market

The company being a provider of cloud solutions such as endpoint protection cloud, hybrid cloud security, data center security, cloud workload protection and cloud application security. Cloud-based operations enable enterprises to scale up their operations instantly, handle fluctuations in demand, and access systems and services over a variety of devices at a lower cost. According to in-house research, the global cloud computing industry is forecast to reach \$446,079.3 million by 2025. Software-as-a-Service (SaaS) is the largest segment of the global cloud computing industry, accounting for 62.2% of the industry's value, followed by Infrastructure-as-a-Service (IaaS) with 21.9% and Platform-as-a-Service (PaaS) with 15.9%. The US accounts for 32% of the global cloud computing industry value, followed by Europe with 30.6%, Asia-Pacific with 26.6%, Middle East with 3.5% and Rest of The World with 7.4%.

Threat

Complex and challenging markets

The company's products are subject to the threat of piracy and unauthorized copying, which could negatively impact its growth and future profitability. Globally, software piracy has been a persistent problem, particularly in countries where there are no stringent laws and enforcement of intellectual property rights. The global expansion of organized pirate operations, the proliferation of technology designed to circumvent the protection measures uses in its products, the availability of broadband access and the ability to download pirated copies of its products from various Internet sites and through peer-to-peer channels, and the widespread proliferation of Internet cafes using pirated copies of its products, all have contributed to ongoing and expanding piracy. Although the company takes substantial legal and technical initiatives to prevent unauthorized copying and distribution of its products, these efforts could not be successful in controlling the piracy of its products. These factors could have an effect on its future growth business operations.

Technology changes

The company's products and services are subject to the several technological advancements, product

innovation and development. Hence, to meet its customers' demands, the company must continuously design new and update existing products and invest and develop in new technologies and products. For instance, the market for enterprise data center is going through a fundamental change arising from the convergence of technologies, including networking, computing, storage, and software, that was previously segregated. There are several factors affecting this such as the availability of highly scalable and general purpose microprocessors, standards based protocols, application-specific integrated circuits offering advanced services, cloud computing and virtualization, the convergence of technologies within the enterprise data center is spanning multiple, previously independent, technology segments. Also, certain competitors for enterprise data center business made acquisitions or formed alliances to design an end-to-end technology solution. As a result of such developments, the company could also face competition from long-term strategic alliance partners. Companies that have strategic alliance with the company could acquire or form alliances with other competitors and thereby resulting in the reduced business with Gen Digital.

Increase in software piracy

NortonLifeLock's products are subject to the threat of piracy and unauthorized copying, which could negatively impact its growth and future profitability. Globally, software piracy has been a persistent problem, particularly in countries where there are no stringent laws and enforcement of intellectual property rights. The global expansion of organized pirate operations, the proliferation of technology designed to circumvent the protection measures uses in its products, the availability of broadband access and the ability to download pirated copies of its products from various Internet sites and through peer-to-peer channels, and the widespread proliferation of Internet cafes using pirated copies of its products, all have contributed to ongoing and expanding piracy. Although the company takes substantial legal and technical initiatives to prevent unauthorized copying and distribution of its products, these efforts could not be successful in controlling the piracy of its products. These factors could have an effect on its future growth business operations.

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